Event Horizon Fund Deep Dive Comparison and Recommendations (Jan 2026)

Overview of Analyses

Two in-depth reviews – one by **GPT-5.2** and one by **Gemini** – were conducted on the Event Horizon Fund, a portfolio focused on AI infrastructure. Both analyses validate the fund's core thesis and performance through 2025, while offering nuanced recommendations for 2026. Below, we compare their key points of **agreement** and **difference**, then assess how the fund aligns with current AI/datacenter trends. Finally, we evaluate whether the **current allocation** remains optimal and suggest any portfolio changes (with the "Moonshot" sleeve as an optional component).

Agreements Between GPT-5.2 and Gemini Analyses

Both deep dives come to very similar conclusions about the Event Horizon Fund's strategy and holdings:

- **Thesis Validation: GPT-5.2 and Gemini agree that the fund's focus on AI's physical bottlenecks has been powerfully validated by real-world trends in 2025.** The fund's premise – that value would accrue to choke-point providers (chip fabs, fab equipment, power, cooling, etc.) rather than just hyped AI end-products – **"has not only been validated but accelerated"** by industry developments. Each analysis notes that AI investment has shifted into an **"industrial hardening" phase** where constraints are physical (compute, energy, supply chain) rather than algorithmic. This confirms the portfolio's concentration in **"hard infrastructure"** plays was well-chosen. Both reports highlight that 2025's AI frenzy transitioned into a **massive capex cycle** by major tech firms, creating supply-demand imbalances that benefited the fund's holdings.

- **Core Portfolio Emphasis:** Both analyses emphasize **holding the fund's core positions at their current weightings**, given their critical role as bottlenecks:

- **TSMC (~12%) – No Substitute Gatekeeper:** Both call Taiwan Semi the *"singular/indispensable chokepoint"* for advanced AI chips and concur it should remain a top allocation. TSMC's near-monopoly on <5 nm fabrication and advanced packaging (CoWoS) gives it durable pricing power as AI demand outstrips supply. Both analyses note TSMC can **sell every wafer it produces** at premium prices for years to come, due to structural undercapacity. In short, they **strongly agree on keeping TSMC at ~12%** as a cornerstone holding.
- **Nvidia (~6%) + Broadcom (~3%) – Balanced AI Chip Exposure:** Both analyses support the combined ~9% weight in **AI accelerators**, split between Nvidia and Broadcom. They agree Nvidia remains the *"undisputed leader"* in AI training with

~80–90% market share, and thus some exposure is essential despite its high valuation. Meanwhile, Broadcom's custom ASIC business (e.g. Google TPUs) is a key **hedge against Nvidia's dominance**, ensuring the portfolio also benefits from the hyperscalers' move to in-house chips. **GPT-5.2** deliberately kept this sleeve at <10% to avoid over-concentration, and **Gemini** concurs: it recommends **maintaining the 6% NVDA / 3% AVGO split** to capture both the training GPU boom and the ASIC trend.

- **Micron (6%) – Memory Oligopoly:** Both note that High-Bandwidth Memory (HBM) has become a *scarce, strategic resource* for AI. **GPT-5.2** and **Gemini** each highlight that only three companies make HBM and that **Micron's HBM output is effectively sold out through 2026** – a dramatic shift from memory being a commodity to being a bottleneck. They agree Micron's 6% weight is appropriate: it has huge upside from AI demand, yet memory can be cyclical, so 6% is a moderate allocation. Both recommend **holding Micron at 6%** to ride this HBM super-cycle.
- **ASML (8%) + Applied Materials (4%) – Fab Equipment:** Both analyses strongly endorse the **12% combined in semiconductor equipment** (ASML's EUV lithography monopoly and AMAT's broader fab tool coverage). The reasoning: every advanced chip (made by TSMC, Intel, etc.) **requires ASML's EUV machines**, and ASML cannot be easily bypassed. **GPT-5.2** calls ASML *"hard to imagine the AI 2027 thesis without"* and would buy more on dips. **Gemini** likewise keeps ASML at 8% as a core bottleneck play. Applied Materials at 4% is also maintained, as chipmakers' multi-year fab expansion plans (TSMC in Arizona, Intel in Ohio/Germany, Samsung in Texas, etc.) mean high tool demand. Both analyses say **hold WFE at ~12% total**.
- **Synopsys (5%) – EDA Software:** There's agreement that owning an **electronic design automation (EDA)** leader is important for upstream exposure. **Synopsys at ~5%** is kept in both cases. The rationale: **"no advanced chips can be built without EDA tools,"** and Synopsys (plus Cadence) form a duopoly tollbooth on all new chip designs. Both consider 5% in SNPS a prudent, diversified way to benefit from the explosion of chip R&D across the industry.
- **Arista Networks (5%) – AI Networking:** Both deep dives highlight that **networking bandwidth** inside AI data centers has become a critical constraint. They note the industry's shift toward ultra-fast Ethernet switching (400G/800G) to connect GPU clusters, which **puts Arista at the center of AI networking upgrades**. The fund's **5% allocation to Arista** is affirmed by both; **GPT-5.2** rates it a hold (with potential to increase if Ethernet fully wins out), and **Gemini** likewise lists ANET at 5% (Strong Hold) in its target mix. *Both agree Arista is the best pure-play on the data center "fabric" transition for AI*.
- **Vertiv (8%) + Dell (5%) – Power/Cooling & Systems:** There is consensus that **Vertiv's 8% and Dell's 5% weights** (13% combined for "rack-scale integration & cooling") remain warranted. **GPT-5.2** notes Vertiv aligns perfectly with the fund's bottleneck theme (cooling is mandatory for high-density AI racks) and even suggests considering **increasing Vertiv's allocation** beyond 8% given its order surge. **Gemini** also documents Vertiv's dominance in liquid cooling with record

backlogs, keeping it at 8% (Strong Hold). **Dell** is seen as the **execution leader in deploying AI servers at scale**, complementing Vertiv. Both analyses credit Dell's inclusion (5%) as a wise move – it's capturing the massive "integrated AI rack" market, while being a stable, cash-generative company. **GPT-5.2** validates Dell's 5% weight (providing meaningful exposure without overdoing it), and **Gemini** explicitly recommends swapping out any Super Micro in favor of Dell (more on that under differences). In short, **both agree on ~13% allocated to the data center hardware layer (Vertiv+Dell)**.

- **Constellation Energy (15%) + Quanta Services (3%) – Energy Infrastructure:** Both analyses underscore that **power has emerged as perhaps the most crucial AI bottleneck**, and they maintain a heavy 18% combined allocation here. **Constellation (CEG) at ~15%** is identified by both as a *highest-conviction* holding. The GPT-5.2 report calls CEG **"one of the highest-conviction positions"**, noting Big Tech's multi-decade nuclear power deals have *"re-rated"* nuclear from a commodity to a scarce enabler. Gemini concurs, citing CEG's long-term contracts (e.g. Meta's 20-year PPA) and **premium PPA pricing ($85–$115/MWh)** that dramatically boost margins. Both also approve of **Quanta Services (3%)** as a niche position addressing grid bottlenecks. Quanta builds transmission lines and substations – an urgent need when **50 GW of new AI-driven demand is hitting the grid by 2027**. **GPT-5.2** added Quanta as a small position later, with the logic that it **"fills the gap"** on power delivery and should be kept (with potential to add on dips). **Gemini** calls Quanta a Buy at 3%, emphasizing that **grid lead-times are so long** that Quanta's services have inelastic demand. *In sum, both analyses strongly support the fund's large 18% allocation to power generation (CEG) and grid buildout (PWR).*
- **Small Satellite Positions (2–3% each):** Both analyses agree on retaining **small, speculative positions at the ~1–3% level** in several thematic areas:
    - **AI-Native Security – CrowdStrike (2%):** Both reports favor CrowdStrike as the pick for AI-era cybersecurity. **GPT-5.2** notes CrowdStrike is a *"must-have"* in securing AI workloads, and suggests a slight increase (toward 3%) over time[1]. **Gemini** similarly tags CRWD 2% as *"Buy"* – it dropped legacy Palo Alto Networks in favor of CrowdStrike's AI-focused approach. Both clearly view CRWD's small allocation as worthwhile and potentially growing as AI-driven cyber threats rise.
    - **AI-Native Operations – Palantir (2%):** Both analyses keep **Palantir at 2%** as a play on AI-driven decision-making software for enterprises/government. **GPT-5.2** sees 2% as enough to benefit if Palantir's AI platform gains traction, without too much risk. **Gemini** calls Palantir the *"operating system for the AI enterprise"* and shows it's rapidly converting customers (121% YoY U.S. commercial growth in late 2025). Both are cautiously optimistic – hold a small stake to capture upside from Palantir's unique positioning, but **don't overweight it** until its AI business further proves out.

    - **Defense/Autonomy – AeroVironment & Kratos (1% each):** Both agree on keeping **tiny positions (~1% each)** in these defense tech names as a hedge on AI's militarization. **GPT-5.2** frames AVAV and KTOS as *"toe-hold"* positions that could **"multi-bag"** if an AI arms race accelerates, while limiting risk via small size. **Gemini** also includes these names (combined ~2–3%) noting recent drone program wins for each (e.g. Kratos's Valkyrie and AVAV's Switchblade getting DoD contracts). Both analyses acknowledge these are higher-risk, but agree the asymmetric payoff justifies a modest inclusion.
    - **Bio-Risk Hedge – Moderna (1%):** Both analyses support **Moderna at ~1%** as a tail-risk hedge against biothreats (which could be exacerbated by AI). **GPT-5.2** calls it a *"cheap insurance policy"* – you don't expect it to pay off unless an engineered pandemic occurs. **Gemini** likewise keeps 1% in MRNA, citing its rapid mRNA platform as the fastest responder if an AI-enabled bio-event happened. In essence, **both keep Moderna as a small hedge and see no strong reason to change it** now that COVID is waning; it remains *"just in case."*
    - **Strategic Materials – MP Materials (3%):** Both analyses agree on **MP at ~3%** as a geopolitical hedge (rare earth supply). **GPT-5.2** argues 3% is appropriate – if rare earths become "the new oil" in a U.S.–China trade war, MP could surge, and at 3% it would contribute meaningfully. If nothing major happens, a 3% mining stock won't drag much. **Gemini** similarly notes MP Materials has now *"graduated to a strategic national asset"* in the eyes of the U.S. (thanks to the **CHIPS Act and defense initiatives**). It specifically mentions MP's new domestic magnet factory coming online as a unique advantage. Thus, **both favor keeping MP at ~3%** for its option value in a supply-chain squeeze scenario.
- **Avoiding Hype & Overlap:** Importantly, both analyses reiterate the **fund's conscious *exclusion* of the most hyped AI plays (and other overlapping names)**:
- Neither recommends adding the big cloud hyperscalers (Amazon, Google, Microsoft, etc.) despite their AI investments. In fact, the **Gemini report explicitly concludes that excluding hyperscalers remains sound**, because those giants are *buyers* of scarce resources (GPUs, power) rather than providers – **they're on the "wrong side" of the supply/demand imbalance** the fund exploits. **GPT-5.2** made a similar point: owning "the picks and shovels" is better than being the *marginal buyer* of GPUs or AI services.
- Both also caution against adding seemingly related chip names that **don't own a bottleneck**. For example, **GPT-5.2** considered AMD (a rising #2 in AI GPUs) and decided **not to add it**, since the portfolio already captures AMD's success indirectly (through TSMC manufacturing its chips, and Micron supplying HBM) and AMD doesn't control any unique supply choke-point. This logic aligns with the fund's focus on **monopoly-like positions**. **Gemini** did not list AMD anywhere either,

implying agreement that **Nvidia + TSMC (and Broadcom as a hedge)** sufficiently cover AI processors without introducing AMD's execution risk.

- Both analyses stick to the **initial roster of sectors/stocks**, not introducing entirely new categories. They did *consider* some (GPT-5.2 mentioned power semiconductors like SiC/GaN as a question, but concluded those aren't a clear bottleneck yet given multiple suppliers)[2]. Thus, **both analyses affirm the fund's existing scope** – which spans semiconductors, infrastructure, and select software – is comprehensive for the AI thesis, with no obvious gaps.

In summary, **GPT-5.2 and Gemini are overwhelmingly in agreement** on the Event Horizon Fund's composition. Both found that 2025's events **"delivered substantial alpha"** for the fund's holdings and that the portfolio is aligned with the **"operational reality"** of early 2026's AI landscape. They independently validate each sector's inclusion and generally endorse the **same allocation weights**, with only minor tactical nuances (discussed next).

Key Differences Between GPT-5.2 and Gemini Analyses

While the two deep dives agree on fundamentals, a few recommendations diverge due to differences in emphasis or updated information:

- ◊ **Intel's Role – Moonshot vs. Core:** The **biggest divergence is on Intel (INTC)**. The GPT-5.2 report treats Intel as a **speculative "moonshot"** holding (in the optional 10% sleeve) rather than a core position. At the time of that analysis, Intel's foundry turnaround was still unproven – **GPT-5.2 noted Intel trailed TSMC by years**, advising to **keep INTC as a high-risk LEAPS position** rather than part of the main portfolio. It explicitly states *"no core position in INTC yet, consistent with 'keep Intel as a moonshot, not core'"*.

Gemini, however, argues that by Jan 2026 Intel has "graduated" from moonshot to core. It highlights **new developments**: Intel's 18A process node achieved high-volume manufacturing with solid yields, and Intel won a foundry contract with Apple. These are game-changers that *"de-risk the thesis"*. As a result, the Gemini report recommends **promoting Intel to the core portfolio with a 5–6% allocation**. This essentially moves Intel from the optional LEAPS sleeve into the main fund. Gemini also notes the U.S. government's heavy support (CHIPS Act funding giving it a partial stake in Intel) as a "sovereign floor" under Intel's stock.

In short: GPT-5.2 was cautious on Intel (high risk, keep it small/derivative), whereas **Gemini is bullish due to Intel's validated progress**, urging the fund to **buy and hold Intel equity outright** going forward. This difference stems from timing – the GPT analysis might pre-date or de-emphasize the concrete proof of Intel's turnaround, while Gemini incorporates the latest Jan 2026 news that **Intel "leapfrogged" certain nodes and secured a whale customer**[3]. This is a significant strategic shift: the fund originally avoided Intel except via options, but now it may warrant a meaningful core stake as a

domestic hedge and high-upside play. (We will reconcile this in the recommendations section.)

- ◊ **Simplifying the Moonshot Sleeve:** Another difference is **how to handle the optional 10% Moonshot sleeve (risky, asymmetric bets)**. **GPT-5.2's** report largely leaves the Moonshot sleeve as-is (unfunded but proposed), implying the use of LEAPS/options on names like Intel, Kratos, etc., for high leverage if one chooses to deploy it. It doesn't elaborate much, effectively treating it as **unchanged and up to the investor** (it even refers to *"our plan to use options in the Moonshot sleeve… still seems prudent"* for Intel). There is no strong guidance to alter the Moonshot approach in GPT-5.2's analysis.

Gemini's analysis explicitly addresses the user's hesitation with LEAPS and recommends simplifying. It acknowledges the **complexity and risks of LEAPS** (theta decay, illiquidity, expiration timing) and suggests an **alternative: convert the Moonshot sleeve entirely to equities or leveraged ETFs**. Gemini's stance is *"if you don't understand LEAPS, do not trade them"*. Instead, it maps out a plan to **use common stocks for the Moonshot ideas**, retaining upside but avoiding options pitfalls. For example, the 3.5% that was to be in **Intel call spreads** can just go to Intel stock (now core). The 3.5% intended for **crypto-miner-turned-AI-host companies (CORZ, IREN, APLD)** can be held as equity in those names. And the 3% for **KTOS/AVAV LEAPS** can simply be KTOS/AVAV stock (or at most a 2x ETF for short spurts). It even lists specific 2× long ETFs (INTW for Intel, KTUP for Kratos) as *occasional tools* if leverage is desired. The core message: *simplify and de-risk the Moonshot sleeve by using straightforward instruments*.

Bottom line: GPT-5.2 didn't propose changes to the Moonshot strategy (implicitly fine with the complex approach for those who can do it), whereas **Gemini advocates a more conservative, user-friendly approach** (or even deferring the sleeve entirely, given the user's discomfort). This difference is directly responsive to the user's note about not having started the Moonshot due to limited understanding of LEAPS – Gemini essentially says *"that's fine, you can achieve similar asymmetric exposure without options or simply skip it"*. We will incorporate this advice in our recommendations, since it aligns with the user's needs.

- ◊ **SMCI vs. DELL – Removing Super Micro: GPT-5.2's** analysis does not mention **Super Micro Computer (SMCI)** at all, which implies it fully endorsed the fund's existing choice of **Dell (5%) as the play on AI servers** (since the original allocation had Dell, not SMCI). **Gemini's** analysis, on the other hand, brings up SMCI specifically: it **recommends liquidating SMCI in favor of Dell**. This suggests that at some point the user or prior plan may have considered SMCI; Gemini emphatically advises against it. The rationale is that **the market shifted from "speed-to-market" (SMCI's niche in 2023's AI rush) to "scale-of-deployment" (Dell's strength)**. In early AI hype, SMCI surged by quickly assembling GPU servers, but by 2025–26, large customers prefer the *reliability, supply chain and support* of Dell for scaling huge deployments. Additionally, Gemini notes **SMCI faced governance**

issues and margin pressures, making it less attractive. Dell, conversely, has a *$14.4B AI backlog and $20B+ FY26 AI revenue guidance*, proving it's winning the volume race.

Thus, **Gemini and GPT-5.2 likely differ only in that GPT-5.2 already assumed Dell (no SMCI), whereas Gemini explicitly ensures any SMCI exposure is removed.** The end conclusion is the same: **hold Dell (5%) as the premier AI server integrator** and **do not hold SMCI**. We mention this difference because the Gemini report made it a point, likely for completeness, whereas GPT-5.2 was silent (implying agreement by omission).

- ◊ **Geopolitical & Macro Framing:** The analyses differ slightly in tone on macro factors:
- **Gemini's report places a stronger emphasis on geopolitics** – it discusses how the **"Chip War" evolved into a "Power War"** and how U.S. industrial policy is favoring domestic tech infrastructure. It notes a *"distinct sovereign premium"* for U.S./ally-domiciled assets and explicitly cites **Intel and MP Materials** as beneficiaries of this trend (elevated to strategic asset status). It also highlights nuclear power's re-rating in part due to energy security concerns.
- **GPT-5.2's analysis, while aware of geopolitics, is more focused on supply/demand mechanics**. It certainly acknowledges **Taiwan risk** for TSMC and the CHIPS Act driving onshoring, but doesn't use terms like "sovereign premium." GPT-5.2's framing is a bit more **bottom-up (industry trend)** whereas Gemini adds a **top-down strategic lens** (industry trends *plus* government actions and de-globalization).

In practical recommendations, this leads **Gemini** to double down on **Intel and MP (domestic capabilities)** and to maintain a close watch on regulatory risks (e.g. FERC potentially limiting data center co-location at power plants). **GPT-5.2** was already long MP and had Intel in options, but without explicitly crediting geopolitics as the reason (it was more about each company's fundamentals). This isn't a direct conflict – more of a difference in emphasis. Both agree on the end result (own Intel, own MP, watch Taiwan), but **Gemini's articulation ties these moves to macro shifts in policy**, whereas GPT's was rooted in microeconomic analysis.

- ◊ **Allocation Nuances:** Finally, there are a few **minor allocation nuances** or stylistic differences:
- **CrowdStrike: GPT-5.2** floated increasing CRWD from 2% to ~3% over time[4], whereas **Gemini** kept the target at 2% but labeled it a "Buy" (implying bullishness). In effect, both are positive on CRWD and suggest it could justify a bit more capital, but neither actually reallocated yet – it's a soft difference (we will note CRWD as a potential to inch up).
- **Quanta (PWR): GPT-5.2** said hold **"at least 3%, with a bias to add on any weakness"**. **Gemini** similarly says 3% with a "Buy" stance. No real disagreement –

both see 3% as a minimum and are enthusiastic about the thesis, meaning the fund could opportunistically increase PWR if conditions allow.

- **Defense (KTOS/AVAV): GPT-5.2** and **Gemini** both keep these small, but **Gemini** allocates *3% combined* (effectively 1.5% each) in its Moonshot section, a hair more than GPT's 1% each core allocation. Gemini might be counting them as part of the Moonshot rework (since Intel moved to core, it gave a bit more room to defense). It's a trivial difference in size, with both stressing these remain modest speculative bets.
- **No new sectors:** Neither analysis added new companies to the portfolio (with the exception of Intel's status change). For instance, **no one suggested adding AMD, Marvell, Lam Research, etc.**, largely because the portfolio already covers the necessary bases. **GPT-5.2** explicitly reasoned against adding AMD for now, and against adding another fab tool maker like Lam (given overlap with AMAT). **Gemini** did not contradict this – it sticks to the same roster. So, any difference here is minimal; both are content with the current selection of stocks (apart from Intel's promotion).

In summary, the **main actionable differences** are **Intel** (Gemini says add to core; GPT5.2 said keep as optional) and **Moonshot execution** (Gemini says simplify/defer; GPT5.2 didn't address it). There's also an explicit **"no SMCI"** message in Gemini, aligning with what GPT implicitly assumed. Other variations are subtle and generally reflect updated data or stylistic focus rather than fundamental disagreement. The next sections will use these insights to determine which recommendations to follow, especially in light of **current AI/datacenter trends** and whether the **fund's allocation still looks optimal**.

Alignment with Current AI/Datacenter Industry Trends (2025–26)

Both deep dives grounded their recommendations in the *real-world state of the AI industry* circa early 2026. Many of their points echo the latest market data and news. Here we highlight how key portfolio themes align with current developments:

- 🚀 **Unprecedented AI CapEx Supercycle:** Both analyses note that **hyperscale tech firms massively ramped up capital expenditures on AI in 2025**, far beyond initial projections. In 2025 alone, the combined capex of Amazon, Google, Microsoft, and Meta **exceeded $320 billion**, and 2026 is projected to top **$500 billion**. This spending is building out what Gemini calls *"AI factories"* – giant data center campuses on a scale previously seen only in power infrastructure. Indeed, roughly **100 GW of new data center capacity** is expected globally by 2030 to support AI, a build-out valued at **$3 trillion**. This **historic infrastructure surge directly benefits the Fund's holdings**, which are effectively the suppliers and enablers for these AI megaprojects. It validates the strategy of investing in the **"picks and shovels"** of the AI boom: when $100s of billions are spent on AI hardware, the profits accrue disproportionately to those providing **chips, fabs, power, cooling, and other physical inputs**.

- 🔗 **Supply Bottlenecks and Pricing Power:** The core premise – that certain parts of the AI supply chain would become bottlenecks – is **playing out as predicted**, creating strong tailwinds for the portfolio:

- **Chip Fabrication & Packaging:** Demand for cutting-edge AI chips is vastly exceeding production capacity. TSMC's leading-edge fabs (<5 nm) are effectively **sold out years in advance** for AI orders. Forecasts show that by 2030, **~99% of all sub-5 nm output will be consumed by AI chips** (up from ~2.5% in 2023) – essentially AI will **cannibalize the entire advanced semiconductor industry**. This is evident already: Nvidia, AMD, Google, etc. are putting in huge orders that fully book TSMC's 3 nm and future 2 nm pipelines. TSMC's advanced packaging (CoWoS) capacity is also a constraint; even with aggressive expansion (doubling in 2024, targeting ~140k wafer-outs per month by end-2026), **demand still outstrips supply**. **Both deep dives cite this chronic shortage of leading-edge fabs and CoWoS lines** as a key reason TSMC can charge premium prices and should remain a major holding. Recent data supports this: TSMC's gross margins hit ~62% in Q4'25, indicating pricing power, and it guided a record $52–56B in 2026 capex (further evidence of overwhelming demand).

- **AI Accelerators (GPUs/ASICs):** Despite talk of AI chip supply shortages, Nvidia has managed to ship large volumes – but *only by prioritizing key customers and solutions*. By late 2025, the market shifted to selling entire **GPU supercomputer racks** (e.g. Nvidia's HGX systems or the mentioned **GB200 "NVL72" rack with 72 GPUs + liquid cooling**) rather than individual cards. These racks cost $2–3 million each and have months-long backlogs. **Nvidia's backlog was ~3.6 million GPUs** at the start of 2026 – an enormous figure – and it has essentially monopolized **AI model *training*** even as some hyperscalers develop custom chips for *inference*. Both analyses note that **hyperscaler ASICs (like Google TPU, Amazon Trainium)** are on the rise **but have not dislodged Nvidia** in cutting-edge training; instead, they increase total demand (Jevons' paradox). **Broadcom** is at the center of this ASIC trend as well, partnering on Google's TPUs and recently signing a **$11 billion deal with Google/Anthropic** to supply AI chips. The Gemini report flags Broadcom's **$73 billion AI-related backlog** and 100% YoY growth in AI chip revenue – concrete evidence that Broadcom's custom silicon business is booming thanks to hyperscalers' push to diversify from Nvidia. These industry facts align with the fund's approach of **owning Nvidia *and* Broadcom**: Nvidia captures the huge "training compute" profits, Broadcom ensures we benefit from the *ASIC/efficiency side* of AI deployment. Both reports rightly anticipated this bifurcation and positioned the fund to win no matter which mix of GPU vs. ASIC prevails.

- **Memory (HBM): 2025–26 saw HBM memory become a critical choke-point.** Only three companies (SK Hynix, Samsung, Micron) make HBM, and demand for HBM on AI accelerators has far outpaced supply. Current industry data (cited in GPT-5.2) showed one supplier (Hynix) holding ~57% share, another (Samsung) stumbling to

~27%, and **Micron rising to ~16%** of this niche by stepping in with its HBM3E product. **Micron's entire HBM production for both 2025 and 2026 is already pre-sold** – an extraordinary situation for a memory vendor. Micron also claims technical leadership (its HBM3E being ~30% more power-efficient than competitors'), which is crucial as data centers hit power limits. These trends confirm why the fund banked on Micron. In a traditional downturn, memory stocks suffer, but here **AI HBM demand is "cannibalizing" DRAM capacity and keeping prices high** despite weak consumer markets. Both analyses stress that memory is no longer a commodity but a **"strategic bottleneck"** tied to AI. This justifies **Micron's 6% position – it's directly in line with the** "physical bottleneck" theme (fuel for AI compute) **and stands to enjoy** pricing power and outsized earnings** as long as HBM supply stays tight.

- **Networking (Data Center Switching):** The proliferation of AI clusters (with thousands of GPUs each) has pushed network infrastructure to its limits. **Ethernet has emerged as the preferred interconnect** (over InfiniBand) at massive scale, due to openness and cost, with efforts like 400 Gigabit and 800 Gigabit Ethernet to link AI nodes. **Arista Networks** – the portfolio's pick – has been at the forefront of 400G/800G switching for cloud providers. Industry news shows **Arista's revenue and orders surging** thanks to AI deployments (Arista reported record demand for its high-performance switches in 2025, often citing "AI spine" network build-outs). Both analyses reference this shift: GPT-5.2 notes *"Ethernet is now displacing InfiniBand as the preferred cluster interconnect, and Arista… is at the center of this transition"*. Gemini's summary confirms **Arista 5%** weight and presumably draws on similar data (e.g. large orders from Meta or Microsoft for AI fabrics). The trend is clear: as AI data centers scale, **Arista's technology has become essential**, which vindicates keeping Arista in the fund. In fact, GPT-5.2 mentioned that if evidence keeps mounting that **"all AI players standardize on Ethernet,"** one could argue for a higher Arista allocation – a nod to how strong this current is.

- **Datacenter Power & Cooling:** Perhaps the most striking 2025 development is how **electricity and cooling constraints emerged as top concerns** for AI scaling. Both analyses give extensive treatment to this:

    - **Power:** Training advanced AI models gobbles up *enormous* power. Estimates indicate a single large AI datacenter can require **100 MW or more** of power capacity. Industry forecasts cited in GPT-5.2 say **U.S. AI datacenter power demand could reach ~50 GW by 2027** (which would be ~3–4% of the entire U.S. grid capacity!). Globally, data center power usage might rise ~165% by 2030, largely due to AI. We've already seen tangible moves: **Meta (Facebook) signed a 20-year deal with Constellation to power its AI datacenter with nuclear energy**, and **Microsoft is working with Constellation to restart a previously shuttered nuclear plant (TMI Unit 1) exclusively for its AI needs**. These deals underscore the fund's thesis that **24/7 carbon-free power (nuclear) is a bottleneck asset**. Constellation's

fleet of nuclear plants, once viewed as boring utilities, are now being *revalued as critical tech infrastructure*. Both analyses cite these developments: Gemini mentions **"the historic restart of Three Mile Island Unit 1 (now the Crane Clean Energy Center) for Microsoft"** and the **Meta-Clinton nuclear deal** as validation that *"nuclear power has re-rated from a utility commodity to a technology enabler."*. They also note **pricing**: those power purchase agreements (PPAs) are reportedly at **double** normal electricity rates (e.g. $90–$110/MWh vs ~$50), which translates directly into profit for CEG. This trend of hyperscalers paying up for guaranteed clean power is very much in motion, benefiting CEG's earnings and justifying its heavy weighting.

  - **Cooling:** At the same time, **air cooling in data centers has hit a wall**. The new generation of AI hardware (e.g. Nvidia's **Blackwell H100 GPUs, 1000W+ each**) and ultra-dense GPU racks (like 120 kW per rack systems) produce heat fluxes that air cooling simply can't handle. As predicted, **liquid cooling has become mandatory** for top-tier AI clusters. Both analyses highlight that by late 2025, multiple top cloud operators announced that **the majority of their new AI deployments will use liquid cooling**. Gemini specifically notes Microsoft and Meta's next-gen AI clusters are >50% liquid cooled, effectively *"mandating"* it going forward. This has caused an explosion in demand for liquid cooling infrastructure: **Vertiv's orders and backlog hit all-time highs (e.g. $9.5B backlog late 2025) due to this wave**. Vertiv responded by dramatically scaling production capacity (GPT-5.2 cites a 45× increase in Vertiv's liquid cooling manufacturing capacity in 2024). These real-world signals confirm the fund's bet on Vertiv (and others like Dell providing integrated liquid-cooled racks). **Vertiv's stock has indeed surged** over 2023–25 as these trends materialized, and both analyses see further upside as **the liquid cooling market is projected to grow ~5× by 2034 (19%+ CAGR)**. In sum, **power and cooling have truly become the "thermodynamic bottlenecks"** the thesis envisioned, and the portfolio's heavy allocation to CEG (power) and VRT/DELL (cooling & integration) is perfectly aligned with current industry needs.

- 🌐 **Geopolitical & Policy Factors:** The 2025–26 period also saw **geopolitics heavily influence the AI supply chain**, which both analyses connect to portfolio strategy:

- The **U.S.–China tech tension** escalated: the U.S. imposed stricter export controls on advanced AI chips to China, and China retaliated by restricting exports of critical materials (like gallium and germanium) used in chips. Gemini's analysis raises a *"Supply Chain Kill Switch"* risk: if China broadens export bans to other minerals, it could strangle U.S. chip production. The fund's inclusion of **MP Materials (rare earth mining)** is a direct hedge against this. Indeed, as of late 2025 MP opened the first domestic rare-earth magnet facility, moving the U.S. toward self-sufficiency in NdPr magnets. Both analyses saw MP as a prudent addition for this reason. If

anything, developments have **increased the importance of MP**: after China's 2023 export curbs on gallium/germanium, markets are on high alert for critical mineral supply security. Thus the **3% in MP Materials looks prescient and aligned with the political climate** (Gemini explicitly says MP is *"the only scalable hedge"* if China weaponizes its materials dominance).

- The **CHIPS Act** and allied nation policies are spurring domestic semiconductor projects. By 2025, Intel, TSMC, Samsung all started fab construction in the U.S., Europe, or Japan with government backing. Gemini notes this created a **"sovereign premium"** – assets like Intel's new fabs or MP's mines carry extra strategic value. The portfolio is positioned to benefit: we have **Intel (now becoming core), MP Materials, and U.S.-based tool makers (Applied, ASML's U.S. operations)**. Both analyses also mention that **Intel's prospects improved in part due to government incentives and contracts**, e.g. the **Department of Defense and Apple engaging Intel Foundry**[3][5]. By Jan 2026, Intel was **officially serving external fab clients (like Apple) on advanced nodes** – a milestone many thought unlikely. This reflects how policy (CHIPS Act funding and "Made in America" push) helped **Intel close the gap** somewhat. The fund's willingness to bet on Intel (even initially via options) tapped into this narrative, and Gemini's recommendation to elevate Intel's share capitalizes on the outcome. Moreover, **TSMC itself is expanding in Arizona** (though behind schedule), which partially hedges Taiwan risk. But ultimately, the portfolio's mix of TSMC + Intel + tool makers gives **exposure to both the entrenched leader and the rising domestic alternative** – a balance well-suited to current geopolitical realities.
- **Defense and Government Spending:** The war in Ukraine (2022–present) and increasing U.S.–China rivalry have led to **greater defense tech investment**, especially in autonomy and drones (areas where AI is key). Both AVAV and KTOS saw real contract wins in late 2025: e.g., **Kratos got a $200M+ DoD contract for its Valkyrie combat drones** in Jan 2026, and **AeroVironment's loitering munitions were chosen for a major "Replicator" drone initiative**. These events, cited in Gemini's deep dive, indicate that *swarm drones and "attritable" (low-cost) autonomous systems are now a defense priority*. That directly supports the inclusion of those stocks in the fund. While still speculative, the fact that the U.S. government is funding programs with these companies in 2025–26 makes the **AI-defense thesis much more tangible** (moving it from pure speculation toward reality). Thus, the portfolio's small allocations here are aligned with a visible trend: the militaries of the world seeking **"cheap autonomy at scale"** (or as Gemini put it, the doctrine of *"Affordable Mass"* of drones).
- **Security & AI Regulation:** Another development is the growing focus on AI safety, cybersecurity, and regulation. As AI systems deploy widely, concerns about AI-driven cyber threats and misuse have risen. **CrowdStrike's strategy in late 2025** – launching AI-specific security modules (for example, AI-driven threat hunting and posture management) – directly responds to this environment. The Gemini report mentions CrowdStrike's new *"Agentic Security"* features aimed at autonomous AI

agents and notes CrowdStrike saw a **re-acceleration in annual recurring revenue growth (net new ARR +73% YoY)** in Q3 FY26. That suggests enterprises are investing in AI-aware security solutions, benefiting CRWD. Meanwhile, **Palantir's AIP platform** gained traction as companies realized they need a controlled, audited way to deploy AI in critical operations (to avoid "rogue" AI actions or hallucinations causing damage). Palantir's **121% YoY commercial growth** shows how rapidly demand picked up for its AI governance tooling. These trends affirm why the fund holds small stakes in **CRWD and PLTR** – they are adapting to and riding the wave of AI adoption in software. Both analyses underscore that these positions, while smaller, align with where the industry is heading (securing AI and integrating AI into enterprise workflows responsibly).

In sum, **the current AI/datacenter trends strongly support the recommendations made in the analyses**. The portfolio is concentrated in areas that are **experiencing exceptional growth, pricing power, or strategic importance** as of early 2026. The data – from TSMC's record market share and CoWoS backlog, to Constellation's lucrative nuclear deals, to Vertiv's mandated cooling installations – all reinforce the fund's thesis. The deep dives correctly identified these as *"where the constraints are, the profits will follow."* The agreement between GPT-5.2 and Gemini on most holdings is itself evidence that multiple perspectives see the same signal in the noise: **the infrastructure underpinning AI is the place to be invested**.

Next, we translate these validated insights into an updated assessment of the fund's allocation and any needed changes.

Assessment of Current Allocation and Recommendations

Is the current allocation still optimal? Largely, **yes** – the Event Horizon Fund's allocation appears *highly tuned* to the 2026 AI landscape. The core weights were set based on solid research and have been affirmed by the 2025 outcomes. Both independent analyses found the portfolio **"robust and well-aligned"** with the fast-evolving AI industry. There is no recommendation to fundamentally overhaul any major sector weight. Instead, the advice is to **make a few incremental optimizations** at the margins, incorporating the latest developments (like Intel's progress) and the user's preferences (e.g. avoiding complex derivatives).

Below is an **updated allocation recommendation** reflecting those tweaks, along with rationale:

◈ Keep the Core **Bottleneck** Allocations Steady

The heart of the portfolio – the companies controlling critical AI bottlenecks – should remain **heavily weighted**. These positions have **only grown in conviction** as 2025 data came in, and they form the engine of the fund's strategy:

- **TSMC – 12% (Hold):** No change here; TSMC stays as a **cornerstone ~12%** position. It is *"effectively the physical gatekeeper of AI progress"*, and recent trends (90%+ yield on 3 nm, rapid expansion of 2 nm, doubling CoWoS capacity) reinforce its dominance. As Gemini put it, **"Maintain the 12% allocation"** – TSMC's chokehold on advanced compute is intact, and even a massive capex plan isn't catching up with demand. Geopolitical risk (Taiwan) is the one shadow, but the portfolio accepts this while hedging elsewhere. Continue to **watch for any Intel/Samsung progress** as a trim trigger, but right now TSMC's position is unassailable. *Bottom line:* **TSM is still the highest-confidence single holding** – we **keep it at ~12%** of the AI sleeve (around one-quarter of the sleeve's core equity capital on its own).

- **ASML – 8%; Applied Materials – 4% (Hold 12% total WFE): Semiconductor equipment remains a must-own 12%.** ASML's EUV lithography monopoly ensures that every advanced chip made (by TSMC, Intel, Samsung, etc.) generates revenue for ASML. The AI boom is driving fab expansions and rush orders for EUV tools, sustaining ASML's growth. We keep **ASML at ~8%** – a top conviction hold. Similarly, **Applied Materials ~4%** is maintained to capture broader fab capex (deposition, etch tools) and U.S. onshoring benefits. No new entrants threaten these, and government-backed fab projects globally (Intel in Ohio, TSMC in Arizona, Europe's Intel/Migration to ASML tools) mean strong demand. **Any short-term dips in these stocks would be buying opportunities**. The fund's original 12% WFE weight still looks optimal: these companies are *"gatekeepers"* to expanding chip supply, and as long as AI chip demand soars, **ASML/AMAT will profit regardless of which chip companies win**.

- **Nvidia – 6%; Broadcom – 3% (Hold ~9% combined): Retain the current split between NVDA and AVGO** for AI processors/accelerators. The analyses agreed that together they cover the spectrum:

- **Nvidia (6%)**: Continue holding at roughly market weight. Nvidia's latest GPU (Blackwell) launch and accompanying software ecosystem (CUDA, AI libraries) keep it far ahead in AI training. Its backlog is enormous and it effectively prints money on each high-end system sold. We avoid raising Nvidia's weight further (to guard against overpaying for the *"most crowded trade"*), but we also definitely want to **own some NVDA** to capture its ongoing dominance. Six percent remains a sweet spot – sizable enough to contribute to returns (Nvidia's gains have a big impact) but not so big as to overweight a volatile stock.
- **Broadcom (3%)**: Keep at ~3% as a strategic hedge. Broadcom's custom ASIC contracts (Google/Alphabet, Meta's inference chips, etc.) gained huge traction, confirming the fund's thesis that **Broadcom is the "arms dealer" to the anti-Nvidia camp**. Broadcom provides diversification: if hyperscalers like Google shift more budgets to in-house chips (TPUs) instead of buying Nvidia GPUs, Broadcom benefits. Recent news of its multi-billion dollar deals underscore that **Broadcom's AI revenue is booming**. The combined 9% allocation was reaffirmed by Gemini

(with an internal note to **"maintain the 6%/3% split"**). So we stick with that. *(Note: If Nvidia's valuation or dominance falter, we could consider adjusting this internal mix – but at this time, the current weights are justified by each company's role.)*

- **Micron – 6% (Hold): Keep Micron ~6%** to maintain exposure to the **HBM memory bottleneck**. Both analyses designated Micron a **"Strong Hold"**. The reasoning remains: Micron is transforming from a commodity DRAM player to a critical supplier of AI memory, with **HBM lines running at full capacity for the next 2+ years**. Its market share in HBM is rising, and it's on track for ~20% share which will greatly boost profits (HBM carries higher margins than commodity memory). Given Micron's historic volatility, 6% is a healthy allocation – significant upside if the AI memory super-cycle continues, but not too damaging if memory pricing swings. The analyses did not suggest increasing or decreasing this weight, indicating 6% is the right balance. We'll monitor Micron for any signs of oversupply or loss of technical edge, but as of now, **the data center HBM shortage looks persistent** and Micron is one of the few to benefit. So, **hold MU at 6%**.

- **Synopsys – 5% (Hold): Retain Synopsys at 5%** for stable, broad-based exposure to the chip design boom. SNPS has been a quiet but strong performer – essentially a *"toll collector"* on the AI chip race. Every new AI accelerator ASIC or GPU needs EDA software; Synopsys (and Cadence) have near-duopoly pricing power. The portfolio only holds Synopsys (not Cadence) for simplicity, and that's been fine as they trade similarly. Both analyses said **5% is appropriate** and didn't push for changes. We'll maintain this. It provides some defensive balance too (software revenue, high margins, less cyclicality than hardware). If anything, SNPS's position has gotten stronger – chip startups and big firms alike are racing to design AI chips, benefiting EDA tool demand. So yes, **keep Synopsys ~5%**.

- **Arista Networks – 5% (Hold): Keep Arista at ~5%**, continuing to bet on the Ethernet networking trend. Both analyses recommended holding Arista at this weight, and Gemini's optimized allocation list shows ANET 5% (no reduction). The rationale: as discussed, Arista is *the* leader in high-speed data center switches that connect AI clusters. The more GPUs get deployed, the more switching bandwidth needed; Arista's growth in late 2024 and 2025 reflected exactly that (they reported record orders, especially from cloud titan customers rolling out AI pods). We don't see any reason to change this allocation now. In fact, **GPT-5.2 noted one could argue for a higher allocation if evidence keeps favoring Ethernet** – and indeed, evidence has continued to favor it (e.g. Microsoft's AI network architecture heavily uses Arista 400G Ethernet). However, given Arista is a mid-cap and somewhat volatile, 5% is prudent. It's a high-conviction hold, and we **reiterate the 5% target**.

- **Vertiv – 8% (Strong Hold); Dell – 5% (Hold): Maintain the combined 13% in "Rack-Scale Integration & Cooling," with Vertiv 8% and Dell 5%.** This duo addresses the **thermodynamic and logistical bottlenecks** of AI infrastructure:

- **Vertiv (8%)**: Both reports are very bullish on Vertiv and suggested either holding or even increasing. GPT-5.2 said *consider even increasing Vertiv's weight* given its alignment with the bottleneck theme and effectively selling "picks & shovels" (cooling equipment) into an obligatory upgrade cycle. Gemini kept Vertiv at 8% with a Strong Hold status. We will stick to at least 8%. Vertiv's fundamentals in 2025 were excellent – huge backlog, improved margins – and every indication is that demand for its liquid cooling and power distribution units will remain red-hot as new AI datacenters come online. Vertiv's management has guided high growth thanks to AI orders. **There's arguably room to let Vertiv run above 8% if its performance continues to outpace** (i.e. we wouldn't necessarily trim if Vertiv grows to 9–10% of the sleeve by outperformance, as long as the thesis holds). But formally, we keep the target ~8% and **retain Vertiv as a top conviction hold** for 2026.
- **Dell (5%)**: Confirm Dell's 5% allocation as the portfolio's play on **integrated AI systems and servers**. Dell has validated our confidence – in late 2025 it raised earnings outlook specifically due to AI server demand, and it revealed a **$2 billion backlog of orders for AI-optimized servers** (and that was just the beginning). By Jan 2026, Dell indicated it expects ~$20B in AI-related revenue for FY26. Dell's ability to deliver whole racks (often co-selling with Vertiv cooling, Nvidia GPUs, etc.) at scale made it a go-to partner for enterprises and smaller cloud providers that can't design their own hardware like Amazon or Google. The Gemini analysis explicitly advises *"reallocate any funds from SMCI to Dell"* – in our case, we already had Dell, but this reinforces that **Dell is the superior choice going forward**. Dell is a larger, more diversified company than many others in the fund, which tempers its risk (and also its pure upside). At 5%, it provides solid exposure to the AI server boom without overweighting a conglomerate. We *considered* if we should notch Dell up a bit (say to 6–7%) given its strong execution. However, since Dell's overall business includes PCs and storage which are slower, we decided **5% remains appropriate**. We will **not include any Super Micro** – the analyses agree SMCI's window of advantage has closed and it carries too much risk now. So, **keep Dell ~5%** and **exclude SMCI entirely**.

- **Constellation Energy – 15% (Highest Conviction); Quanta Services – 3% (Buy/Hold):** The **energy segment (18% total)** continues to warrant the largest allocation of any segment, reflecting its crucial importance:

- **Constellation (15%)**: **Maintain the overweight ~15%** in CEG. This remains *the single largest weight* in the fund (slightly exceeding TSMC's 12%), which both analyses supported given CEG's unique position. As described, nuclear power's value has surged in the eyes of hyperscalers, turning CEG into an "AI infrastructure" stock rather than just a utility. We've seen CEG stock respond accordingly (up significantly in 2025). Even after that run, the analyses call it a **"highest-conviction"** hold. CEG is **now expanding** – uprating nuclear plants, exploring small modular reactors, and even acquiring gas generation (Calpine) as a bridge – all to

meet data center demand. The recommendation is to **keep CEG at ~15%** and possibly add on any significant pullback, because the structural trend (AI data centers needing reliable 24/7 power) is unlikely to revert. CEG also provides a more defensive counterbalance to the high-tech names (it's less volatile, tied to regulated assets with a tech twist). Both GPT-5.2 and Gemini essentially say **"do not trim this overweight – it's fundamental to the thesis"**, and we concur.

- **Quanta (3%)**: **Retain Quanta at 3%, with a willingness to increase modestly if high-conviction opportunities arise.** Quanta is our play on the *grid upgrade bottleneck*, and everything from 2025 indicates this is a real pain point. Transformer lead times stretching to 3–4 years, interconnection queue logjams, and massive transmission projects needed for new data centers all mean Quanta's engineering/construction services are in unprecedented demand. The Gemini analysis literally tags Quanta **"Status: Buy"** at 3%, and GPT-5.2 likewise said one could **"hold at least 3%, bias to add on weakness"**. We interpret that as: 3% is a minimum strategic position; if Quanta's stock dips or if it announces major new contract wins for data center grid work, we could justify allocating a bit more. We'll **monitor Quanta** – for now, keep it at **3%** but be prepared to **opportunistically top it up** (e.g. to 4–5%) if valuation and circumstances are favorable (note: Quanta is also benefiting from U.S. infrastructure spending generally, so it has multiple tailwinds). The key is that **power transmission is indeed a binding constraint** now on AI growth (which wasn't as obvious a couple years ago), so having Quanta in the mix proved wise and we will continue with it.

- **CrowdStrike – 2% (Buy/Add gradually); Palantir – 2% (Hold):** The **software & security** minor sleeve (4% total) remains as is, with a note that we're inclined to **increase CrowdStrike slightly** over time:

- **CrowdStrike (2% → potentially 3%):** Both analyses are bullish on CrowdStrike's positioning for AI-era threats. The fund switched from Palo Alto Networks to CrowdStrike earlier, and that's been validated by CrowdStrike's strong rebound and AI-driven product launches. We recommend **keeping CrowdStrike at least at 2% and potentially increasing toward ~3%** when feasible. GPT-5.2 explicitly recommended considering a bump to ~3%[1], and Gemini labeled it "Buy" at 2% – these imply that if the investor has capacity, adding here is reasonable. Since security is a somewhat different theme than the physical infrastructure bets, adding a percent here can improve diversification a bit while still aligning with AI growth (because *cybersecurity demand increases as AI adoption increases*). We will not reallocate core funds away from bottlenecks to do this, but if, say, any non-core position is trimmed, funneling a portion into CRWD is advisable. For now, consider **2% the floor and aim for 2.5–3% over the next year** (e.g. by using new contributions or small trims elsewhere)[1].
- **Palantir (2%)**: **Keep Palantir at 2%.** This remains a high-upside, medium-risk play on the *"AI operating system"/enterprise AI* theme. Both reports are content with 2% – it's enough to matter if Palantir truly breaks out with its AIP platform, but not

enough to hurt badly if it stagnates. Palantir's recent growth in commercial AI uptake is promising (trends like 100%+ growth in U.S. commercial revenue show its pivot beyond government is succeeding). But execution and competition are still considerations, so we don't go higher than 2% until there's more proof of durable profitability and competitive moat in the AI platform arena. **GPT-5.2 explicitly said "wouldn't increase until we see more concrete evidence"**, which holds true. So, **hold PLTR at 2%** as a lottery-ticket type exposure to AI software adoption.

- **AeroVironment – 1%; Kratos – 1% (Hold 2% combined): Retain the combined ~2% in AI defense contractors**, with the possibility of slight tactical increase to ~3% combined if desired. These remain speculative positions that **both analyses recommended keeping small**. Given recent positive signals (contracts, inclusion in DoD initiatives), one could justify a marginal increase (Gemini effectively did so by listing them as 3% combined in the Moonshot plan). However, since these are high-beta stocks and outcomes depend on government budgets (which can be fickle), we won't formally change their target in the core allocation. **Keep AVAV ~1% and KTOS ~1%**. If one is particularly optimistic or wants to prepare for rising defense tensions, **you may allocate an extra 0.5% to each** (making them 1.5% each, 3% total) from the Moonshot pool. But that is optional and should be weighed against other uses of that capital. The main point: **we continue to hold these names as a hedge on the "AI arms race" scenario**, as they could multiply in such an outcome, but we size them small to limit risk.

- **Moderna – 1% (Hold): Keep Moderna at 1%** as our bio-risk hedge. Both analyses agree there's no need to change this. We treat it like insurance – we hope it never pays off big (because that might mean an AI-related pandemic or bioterror event occurred), but if something does happen, Moderna's rapid-response mRNA platform could see outsized gains. In normal times, Moderna's value will ebb and flow with its vaccine pipeline, which is fine for a 1% position. We simply hold it, and periodically refresh our conviction (e.g. if a clearly better biosecurity hedge emerged, we might swap, but none is apparent). As GPT-5.2 said, *"no strong reason to change this now – the bet hasn't paid off (which is good)"*. Exactly.

- **MP Materials – 3% (Hold/Add on dips): Maintain MP Materials at 3%** for rare earth supply security. We've covered how critical this could be if geopolitics go south. 2025 saw MP make significant progress (starting U.S. production of rare earth metals), moving closer to its vision of an end-to-end domestic magnet supply chain by 2026–27. The analyses suggest keeping 3% and ensuring we don't let it drop below that. Gemini even says "Add – ensure 3% weight", implying if the stock fell and became less than 3%, we should top it up to maintain the allocation. We agree. There's no push to go above 3% because MP is still essentially a mining/refining stock (subject to commodity prices and execution on ramping production), but 3% is just right for its asymmetry. So, **hold MP at 3% and treat it as a strategic hedge** within the portfolio.

◈ Introducing **Intel (5–6%)** as a Core Holding

The one major addition to the core portfolio now is **Intel (INTC)**, based on its turnaround developments:

- **Intel – target ~5% (Promote from Moonshot to Core):** We recommend **adding Intel at approximately 5% of the AI sleeve**, funded by what was previously Intel's notional allocation in the Moonshot sleeve (and/or other Moonshot funds). This implements Gemini's advice: *"Move INTC from the Moonshot Sleeve to the Core… Increase allocation to 5–6%."*.

Rationale: In the past, Intel was kept as an options-based bet due to its lagging technology and uncertainty. But as of January 2026, **Intel has shown credible progress**: it **reached high-volume manufacturing on its 18A process (1.8 nm class) with solid yields**, and crucially, it won a **foundry contract to produce Apple's future chips on 18A**. These are strong validations: - Achieving 18A HVM suggests Intel may actually narrow the gap with TSMC technologically by 2026–27 (at least for certain nodes). In fact, some analysts say Intel 18A could be comparable to TSMC's 2 nm, potentially giving Intel a leg up in transistor density or power in some aspects. - The Apple deal addresses a prior skepticism that external customers wouldn't trust Intel's foundry. Now one of the world's most demanding chip buyers (Apple) is onboard, indicating Intel's process is competitive enough and that Intel can operate a foundry business separately from its product lines[3]. - Additionally, U.S. government support (CHIPS Act money, etc.) effectively underpins Intel – as Gemini notes, the government now has a stake and sees Intel as a strategic national asset. This reduces downside risk (there's a "sovereign floor" – policymakers won't let Intel fail easily).

For the portfolio, **adding Intel serves both offense and defense**. Offensively, if Intel truly executes its roadmap (18A, 20A, etc.), its stock could re-rate dramatically from turnaround value play to growth stock – capturing that upside with a 5% position could significantly boost portfolio returns. Defensively, **Intel is a hedge against TSMC's geopolitical risk**: if (heaven forbid) a Taiwan crisis occurs and TSMC's output is disrupted, Intel (with its U.S./European fabs) would become essentially the only advanced foundry available to the West – its value would skyrocket in such a scenario. Having ~5% in Intel provides insurance for that tail-risk.

Both analyses support this: GPT-5.2 had said *if* Intel shows a credible turnaround, it could be considered for core (and that's exactly what happened). Gemini outright recommends the promotion now, stating *"the 'Moonshot' thesis for Intel has materialized… fundamentally changing the risk profile of the stock"*. It suggests aiming for 5–6% weight to reflect Intel's new status. We will start with **5%** (given Intel is still in the early innings of proving itself – we can always increase to 6% if momentum continues and execution remains on track). This 5% will come out of the previously unallocated Moonshot slice, so it doesn't require cutting other core positions.

Note: By adding Intel, the fund's core sleeve will modestly increase its number of holdings. But Intel isn't *entirely* new – it was always on our radar (the fund "internally" had a ~3.5%

allocation via options that we hadn't funded yet). Now we're simply converting that into a real equity stake and upping the amount. This move reflects our confidence that **Intel's downside-risk-to-upside calculus has improved**. We should still keep an eye on Intel's progress (if 18A stumbles or 20A gets delayed, we may revisit the size), but given current info, **Intel deserves a spot as a core holding going forward**.

◈ Optional "Moonshot" Sleeve – Simplified or Deferred

The portfolio originally set aside ~10% of the AI sleeve for high-risk, high-reward plays (the "Moonshot" sleeve), especially using LEAPS options for leverage. However, as noted, the **user has not implemented this due to limited understanding of LEAPS**, and Gemini's advice is that it's perfectly fine to **simplify or even skip this sleeve** until comfortable. Here's how to handle it:

- **It's acceptable to defer the Moonshot sleeve entirely.** The core 90% of the portfolio is the primary growth driver. If managing options or very volatile small-caps is beyond your risk tolerance or bandwidth, you do not *need* to deploy this 10% right now. The fund can still achieve its objectives with the core positions alone (which are already quite growth-oriented). There's no shame in leaving the Moonshot portion in cash or a broad index fund until you're ready – better that than forcing trades you don't fully understand.

- **If/when you want to utilize the Moonshot sleeve, use** simpler instruments (common stocks or ETFs) instead of LEAPS **to capture the themes originally intended.** We can largely mirror the Moonshot strategy with equities, as detailed in the Gemini deep dive:

- **"AI Landlords" (Data Center Infrastructure REIT-like plays):** The thesis here was that certain companies with large *power-provisioned datacenter footprints* (originally Bitcoin miners) can repurpose or rent out that capacity to AI cloud providers at huge profits. The three names identified were **Core Scientific (CORZ)**, **Iris Energy (IREN)**, and **Applied Digital (APLD)**. Instead of complex call spreads, one could simply **allocate, say, ~3–4% in equal parts to CORZ, IREN, APLD common stock**. These are very high-volatility stocks (they've moved ±50% in short spans), but as Gemini notes, *"the equity itself acts like a leveraged instrument"* due to beta > 2.0. By holding the stock, you avoid theta decay and timing expiry issues – you can ride the trend if it plays out over a longer time. Recent developments: Core Scientific's major hosting deal with CoreWeave remains in effect (the planned merger fell through, but that was arguably because CORZ shareholders expect more value); Iris Energy got a $9.7B contract from Microsoft to provide cloud capacity (a huge validation of its pivot); and Applied Digital inked a 15-year, $5B lease with a U.S. hyperscaler. These underline the potential in this space. So, if you are comfortable, you could invest a small portion in these three as a **basket**. They will be bumpy, but they directly benefit from AI demand for ready-to-go datacenter space.

- **Defense/Autonomy Leverage:** The Moonshot plan had additional exposure to **Kratos and AeroVironment via options**. We've already got 1% each in the core. If you wanted to amplify that, one simple way: allocate another ~1% from the Moonshot sleeve to each **(making KTOS ~2% and AVAV ~2%)** in common stock. That effectively doubles our bet on them, giving ~4% combined. This might be easier to stomach than buying long-dated calls. Alternatively, Gemini mentions a specific leveraged ETF: **Tuttle Capital's 2x Daily Long KTOS (ticker KTUP)**. In theory, one could use a product like that to get a 2× exposure on Kratos for short periods (if expecting a catalyst like an contract announcement). However, be **cautious with leveraged ETFs** – as Gemini warns, they suffer from daily rebalancing and *volatility decay*, making them unsuitable for long holding periods. A simpler approach is just owning more of the stock or a mix of stock + some short-term call options around specific events. For most investors, sticking to stock is fine. **Summary:** If you want to allocate more to defense autonomy beyond the core 2%, do so with small additional equity positions in KTOS/AVAV or a very limited tactical use of a 2× ETF, rather than complicated LEAP spreads.
- **Crypto-related AI Plays (already covered above):** CORZ, IREN, APLD were the main ones. Another note: since these companies were originally crypto miners, their stocks may still correlate with crypto markets in the short term. Be mentally prepared for that (e.g., they could dip if Bitcoin falls, even if their AI hosting business is strong, because the market still associates them with crypto). Over time, as they transition to full AI data center providers, that correlation might break. But in any case, size these bets small (a few percent total) due to their risk.
- **Intel Leaps:** Originally the Moonshot sleeve included Intel call options (~3.5%). We have now effectively reallocated that into an actual 5% equity position in Intel in the core. Therefore, **we no longer need any separate Intel options position**. We've captured Intel's upside in a more straightforward way.
- **Bitcoin for AI**: (Not explicitly in documents, but for completeness) Some investors might consider direct cryptocurrency or other tangential plays as "moonshots." However, given our focus, the above-mentioned stocks already represent the intersection of crypto infrastructure repurposed for AI. We do not need any pure crypto in the portfolio for the AI thesis – it doesn't serve the AI infrastructure narrative.
- **Holding Moonshot Capital:** It's worth reiterating: if none of these moonshot ideas appeal or if you feel they add unnecessary complexity, **you can hold the Moonshot 10% in reserve** (cash or low-risk assets) until you see a compelling opportunity. The analyses suggest that **timing matters** for these plays (e.g., options could expire if timing is off by a few months). By not rushing, we avoid that pitfall. We can deploy this capital later when, say, a new technology emerges or if a current holding drops to an attractive entry.

- **Risk Management & "Kill Switches":** Both analyses included notes on what events would **trigger defensive moves** (e.g. a Taiwan crisis would prompt immediate

TSMC sell and rotation into Intel/defense stocks; or if U.S. regulators blocked data center colocations at power plants, that could hurt CEG). While not exactly allocation changes, it's important to keep these in mind as part of managing the portfolio. We should have a plan for such low-probability but high-impact risks:

- For example, if signs of imminent conflict around Taiwan arise, one *action plan* is to dramatically reduce TSMC (sell the majority of that 12%) and correspondingly increase Intel (and possibly add more to U.S. defense names like KTOS/AVAV, as they would likely spike on that news). This isn't something to do now, but it's a contingency to **"keep on the shelf."**
- If a policy change made nuclear PPAs less lucrative (say FERC ruling against direct grid hookups for data centers), we might reassess CEG's weight – but as of now, that risk seems manageable and perhaps avoidable via deal structuring (Gemini notes the Microsoft-Constellation deal was structured to sidestep some grid fees).
- If an alternative to HBM memory or advanced packaging emerged (thesis invalidation), that could affect Micron or TSMC; we see no such alternative on the immediate horizon, but we stay vigilant.

These are not allocation changes per se, but part of **ongoing portfolio vigilance**.

◈ Summary of Updated Allocation (Target Weights)

To concisely recap the recommended allocation after the above adjustments, here are the approximate **target weights for the AI sleeve (50% of total investments)**, *excluding the optional Moonshot 10%*:

- **Foundry & Advanced Packaging:** TSMC – **12%** (no change)
- **Accelerators & Custom Silicon:** Nvidia – **6%**; Broadcom – **3%** (combined ~9%, no change)
- **Memory (HBM):** Micron – **6%** (no change)
- **Semiconductor Equipment (WFE):** ASML – **8%**; Applied Materials – **4%** (combined 12%, no change)
- **EDA Software:** Synopsys – **5%** (no change)
- **Networking:** Arista Networks – **5%** (no change)
- **Rack-Scale Systems & Cooling:** Vertiv – **8%**; Dell – **5%** (combined 13%, no change in sum, confirm Dell over SMCI)
- **Power Generation:** Constellation Energy – **15%** (no change); **Grid Infrastructure:** Quanta Services – **3%** (no change to target, but keep bias to add on dips) – *combined 18%*
- **AI-Native Security:** CrowdStrike – **2%** (with intent to gradually increase toward 3%)
- **AI-Native Operations:** Palantir – **2%** (hold)
- **AI-Enabled Defense:** AeroVironment – **1%**; Kratos – **1%** (2% combined, hold, or up to ~3% combined if using Moonshot funds to enlarge slightly)

- **Bio-risk Hedge:** Moderna – **1%** (hold)
- **Strategic Materials:** MP Materials – **3%** (hold)
- **NEW – Domestic Foundry Hedge: Intel – 5%** (added to core from 0%; can be 5–6% range; funded by Moonshot reserve)

And for the **Moonshot/Optional 10% Sleeve** (if utilized): - **AI Datacenter "Landlords":** Core Scientific, Iris Energy, Applied Digital – *up to ~3.5% combined*, equal-weight, as high-volatility equity stakes.
- **Leverage on Defense/Autonomy:** Kratos and/or AeroVironment – *additional ~1%* each (beyond core) via equity or short-term 2× ETF, totaling ~2% extra (making defense ~4–5% of sleeve in total between core and moonshot portions).
- **Bio-risk leverage:** Not necessary, but note an available product: 2× Long MRNA ETF (if one wanted short-term leverage around, say, a pandemic scare) – **generally not recommended** for long-term hold. We prefer to keep Moderna unlevered as "insurance."
- **Remaining Moonshot allocation (if any):** Can be held in cash or allocated to another asymmetric idea that may arise (e.g. if a new AI hardware startup IPOs or a relevant sector ETF). The key is flexibility and not forcing trades.

The **net effect** of these changes is fairly small in terms of shifting percentages – the main difference is Intel's inclusion at 5%, which will slightly dilute other weights if we strictly sum to 100%. In practice, since we had an unfunded 10% sleeve, we can insert Intel from that. To illustrate, the core sleeve excluding Moonshot was ~90% allocated; adding Intel 5% brings core to ~95%, and if we still reserve ~5% for any remaining Moonshot equity plays, that totals 100% of the AI sleeve. Another approach is to treat the core as now 100% (with Intel) and consider the Moonshot outside of that – but since the question frames Moonshot as unfunded/optional, we'll consider the **95–100% core allocation** above as the effective portfolio for now.

Conclusion: The current allocation remains optimal and well-constructed, needing only modest adjustments. By: - **Adding Intel** as a core holding (to capture its turnaround and hedge geopolitics), - **Ensuring no exposure to weaker alternatives like SMCI** (sticking with Dell), - **Slightly bolstering names like CrowdStrike** (as AI security demand grows), - and **simplifying the Moonshot strategy** (using stocks or deferring until ready),

the portfolio is refined for the next phase of the AI cycle.

Crucially, these changes are supported by **current market data and trends** – we are not adding anything that isn't already proving its merit, nor are we deleting anything that has fundamentally deteriorated. The fund continues to **"own the hardest bottlenecks"** driving the AI revolution, and those bottlenecks (wafer capacity, chip packaging, HBM, power, cooling) are if anything even harder constraints now than a year ago. By concentrating on these areas, the Event Horizon Fund is positioned to reap outsized rewards as AI investment accelerates into 2026–2027.

Both deep dive analyses conclude on a confident note that **the thesis is not just intact but strengthening**, and we agree. As Gemini succinctly put it: *"Your 'Event Horizon' thesis*

is not just intact; it is accelerating… The time to deploy is now. The infrastructure buildout is a physical inevitability, funded by the deepest pockets on the planet. You are positioned to be the landlord, the utility, and the toolmaker for this new industrial revolution.”.

By implementing the above recommendations, we ensure the portfolio stays aligned with that vision – maximizing exposure to the areas of greatest constraint (and hence profit potential) in the AI ecosystem, while pruning or adjusting where needed. The result is an updated, optimized Event Horizon Fund allocation, ready to capture the next leg of the AI infrastructure boom through 2026 and beyond.

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[1] [2] [4] Fund Analysis GPT5.2 1-20-26.docx

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[3] [5] Fund Analysis Gemini 1-20-26.docx

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